LEADERSHIP AND
MARKETING EXCELLENCE

Before the
FEDERAL TRADE COMMISSION
Washington, D.C. 20580

COMMENTS

of the

ANA – ASSOCIATION OF NATIONAL ADVERTISERS

on the

"Petition for Rulemaking Under 15 U.S.C. § 57(a) Seeking Regulation of Advertising Technology Companies and Agencies Engaged in Programmatic Advertising"
Docket No. FTC-2023-0002
File No. R307001

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On behalf of the Association of National Advertisers ("ANA"), we provide comments in response to the Federal Trade Commission's ("FTC" or "Commission") January 17, 2023 request for public comment on the "Petition for Rulemaking under 15 U.S.C. § 57(a) Seeking Regulation of Advertising Technology Companies and Agencies Engaged in Programmatic Advertising" ("Petition") submitted by Professor Jonathan Askin ("Petitioner").[1] The Petition boldly asserts that a number of industry-standard advertising practices encouraged by the FTC and past Administrations alike are "unfair, deceptive, and privacy-invasive" and asks the FTC to engage in a rulemaking that would strictly circumscribe permissible business practices and data access for entities of all sizes.[2] Because Petitioner's proposal would harm all sectors of the American economy, reduce market access for small and mid-size businesses, stymie innovation, and frustrate consumers by hindering their ability to access relevant information, products, and services, the Commission should deny the Petition and not engage in the sort of rulemaking Petitioner envisions. Rather, the FTC should support Congress' efforts to develop comprehensive, preemptive federal standards relating to data use in online advertising.

As America's oldest and largest advertising trade association, the ANA has long supported brands, advertisers, marketing service providers, and countless other entities that engage in advertising in their efforts to connect consumers with relevant messaging, products, and services, while protecting consumer privacy and maintaining the integrity and security of data processed through their systems. We assist our member companies in their efforts to comply with the law, including mandates to avoid unfair or deceptive acts or practices. The ANA and its members support federal data standards, such as those set forth in Privacy for America's *Principles for Privacy Legislation*, that would clearly define prohibited practices that make personal data vulnerable to breach or misuse, while preserving the benefits that come from responsible uses of data.[3]

The mission of the ANA is to drive growth for marketing professionals, brands and businesses, the industry, and humanity. The ANA serves the marketing needs of 20,000 brands by leveraging the 12-point ANA Growth Agenda, which has been endorsed by the Global CMO Growth Council. The ANA's membership consists of U.S. and international companies, including client-side marketers, nonprofits, fundraisers, and marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). The ANA creates Marketing Growth Champions by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than $400 billion in marketing and advertising annually. Our members include small, mid-size, and large firms, and virtually all of them engage in or benefit from data-driven advertising, including the

[1] Petition for Rulemaking of Jonathan Askin, Professor of Clinical Law, Brooklyn Law School, 88 Fed. Reg. 2562 (proposed Jan. 17, 2023); *see also* Jonathan Askin, *Petition for Rulemaking Under 15 U.S.C. § 57(a) Seeking Regulation of Advertising Technology Companies and Agencies Engaged in Programmatic Advertising* (Jan. 17, 2023), located here (hereinafter, "Petition").
[2] Petition at 5.
[3] Privacy for America, *Principles for Privacy Legislation*, located here.

practices Petitioner refers to as "programmatic advertising"[4] that give consumers access to relevant information, messaging, and advertisements at the right time and in the right place.

"Programmatic advertising" allows the ANA's members responsibly to leverage data to reach potentially interested consumers with relevant information about products and services that match their lifestyles, needs, and interests. Petitioner seeks functionally to bar this industry-standard practice by: (1) severely limiting the data points advertisers may evaluate to determine the relevancy of a particular message to an audience; and (2) prescribing a technology-specific application programming interface ("API") requirement to all online advertising auctions.[5] In an attempt to support this proposal, Petitioner claims without substantiation that existing "programmatic advertising" practices are unfair and deceptive trade practices, and should be barred in favor of the strict, highly technical rule Petitioner proposes.[6] However, Petitioner fails to identify any practices that may be "unfair" or "deceptive" under the standards of the FTC Act, and ignores the myriad benefits "programmatic advertising" provides to the American economy and consumers. The FTC should thus decline to pursue Petitioner's request and encourage Congress' efforts to adopt comprehensive preemptive federal standards that would apply equally across the advertising ecosystem.

The following comments discuss the invaluable role advertising plays in the modern American economy, and the particular importance of "programmatic advertising" to small and mid-size businesses so that they may serve the interests of consumers. Our comments next highlight the stifling effects Petitioner's proposal would have on innovation and the acute risks to future technological advancements from adoption of the proposal. We then discuss how Petitioner's approach would frustrate consumers, who prefer "programmatic advertising" practices to Petitioner's alternatives and greatly value the free and open Internet that flows from "programmatic advertising." Finally, we note that the ANA and its members support Congress' efforts to enact federal preemptive data privacy standards (a goal that the Commission itself has stated it shares[7]), rather than the indirect, piecemeal approach that would stem from Petitioner's proposal.

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[4] We note that the practices Petitioner refers to as "programmatic advertising" are commonly referred to as "online-behavioral advertising" ("OBA"). For purposes of this Comment, we utilize Petitioner's terminology, but note that references to "programmatic advertising" throughout this Comment should be considered references to OBA.

[5] Petition at 56-61.

[6] Petition at 6-7.

[7] *See, e.g.*, Federal Trade Commission, *FTC Report to Congress on Privacy and Security* 10 (Sept. 13, 2021), located here ("[T]he Commission continues to urge Congress to enact privacy and data security legislation, enforceable by the FTC."); Statement of Chair Lina M. Khan Regarding the Report to Congress on Privacy and Security, Commission File No. P065401 at 2 (Oct. 1, 2021), located here ("A growing recognition that the 'notice-and-consent' framework has serious shortcomings further highlights the need for us to consider a new paradigm, which could be implemented through privacy legislation from Congress."); Commissioner Christine S. Wilson, *A Defining Moment for Privacy: The Time is Ripe for Federal Privacy Legislation, Remarks at the Future of Privacy Forum* 7 (Feb. 6, 2020), located here (calling for preemptive federal privacy legislation because "businesses need clarity and certainty regarding privacy rules of the road").

I. Advertising Is the Lifeblood of the Modern American Economy

Petitioner asserts that modern data-driven advertising practices harm small businesses and disproportionately favor large entities.[8] However, Petitioner ignores the vital role that advertising plays in the U.S. economy as a whole, and the particular value of "programmatic advertising" to small, start-up, and mid-size businesses.

Throughout American history, advertising has played a key role in connecting businesses to potential customers and vice versa. In online and offline contexts, advertisers depend on data about consumers to help ensure advertisements are directed to the "right" audiences. Since the advent of the modern Internet, data-driven advertising has fueled unprecedented economic growth, making advertising an irreplaceable part of our vibrant modern economy. Today, advertising impacts nearly twenty percent of the U.S. Gross Domestic Product ("GDP"), supporting $7.1 trillion in sales annually.[9] This cascading impact is felt across all sectors, driving direct product sales, supplier purchasing, and generating buying power.[10] Restrictions on advertising such as Petitioner proposes would reduce ad spending and, consequently, America's overall economic output.

Petitioner asserts that "programmatic advertising" practices are concentrated among a few large entities and posits that widespread adoption of "contextual advertising" practices could expand the marketplace.[11] However, Petitioner fails to acknowledge the actual composition of the advertising ecosystem, whose participants are diverse in size and role, ranging from publishers of large websites to small bloggers, to third-party ad tech companies and marketing service providers. This diverse and vibrant Internet ecosystem benefits consumers immensely by connecting them with new, exciting, and even niche products and services that they would not discover without programmatic advertising. The dynamic nature of this industry means there is perpetual opportunity for growth and room in the market for new, innovative and competitive companies of all sizes.

In addition, online publishers and marketers of all sizes depend on "programmatic advertising" to reach interested consumers. Contrary to Petitioner's assertions, "programmatic advertising" practices are acutely important to afford small and start-up businesses access to the marketplace. A vast majority of small and mid-size businesses report that "programmatic advertising" is "important to the success of their business," rather than a hindrance.[12] Petitioner's proposal to bar "programmatic advertising" practices in favor of "contextual advertising" practices would be particularly devastating to small and mid-size businesses, which lack the pervasive web presence and revenue required to secure contextual advertising placements. Thus, the FTC should not entertain Petitioner's proposal to engage in a rulemaking

[8] Petition at 40.
[9] IHS Markit, *The economic impact of advertising on the US economy 2018-2026* at 4 (Nov. 2021), located here.
[10] *Id.* at 4-5.
[11] Petition at 53-61, 63. As commonly understood, "contextual advertising" practices limit the type of ads that may be served to ads that resemble or correlate with the content of a particular website. In "programmatic advertising," a broader set of data points may be considered to align a particular advertisement with a given consumer's interests and needs.
[12] Deloitte, *Dynamic Markets: Unlocking small business innovation and growth through the rise of the personalized economy* at 2 (May 2021).

that would functionally bar "programmatic advertising." Doing so would be devastating to businesses of all sizes, and the entire American economy.

II. Petitioner's Approach Would Stymie Innovation

In an age of constant technological advancement, Petitioner seeks to prescribe a fixed, technology-specific mechanism to set the rules of the road for all forms of digital advertising.[13] In step with the ever-evolving Internet, companies of all sizes nimbly adapt their practices to reach consumers more efficiently through the platforms and devices by which consumers prefer to receive news, information, and entertainment. Ignoring the constantly evolving nature of technology, Petitioner prescribes adoption of a rigid API protocol in all digital advertising auctions[14] which would be expensive for businesses to implement, and could likely function only on Internet-connected devices as they presently exist. This approach would not only harm the small businesses which depend on existing "programmatic advertising" practices to reach consumers but would also stifle information flows on popular devices of the future.

Prescribing just one approach, as Petitioner suggests, would harm small businesses that lack the resources to implement an API. Petitioner purports this proposal would improve access to digital advertising auctions, but mandated adoption of an API would actually favor dominant market players that already possess the resources to implement this complicated mechanism and pivot their practices. The Commission should reject this proposal and support continued innovation and adaptability.

In addition, Petitioner's proposal would be dated on arrival, limiting advertisers to rigid mechanisms that may be compatible with current Internet-based technologies, but are inflexible to adapt to future advancements. In an age where popular technology changes almost daily, this Petition sorely lacks the sort of technology-neutral adaptability crucial to workable regulation today. For example, Petitioner's API may function on smartphones and Internet browsers as they exist now, but may not adapt to the communication devices of tomorrow. In addition, Petitioner would prescribe strict limitations on the actual appearance of advertisements, including aspect ratios, dimensions, and video runtimes. These limitations not only offend First Amendment principles as discussed further below, they also preclude creativity and innovation in how advertising messages are communicated. To permit the continued innovation that makes America so strong, a technology-neutral solution is needed. Petitioner's proposal is not that solution.

III. Petitioner's Approach Would Frustrate Consumers by Interfering with Information Access

Not only would Petitioner's approach devastate the American economy and disincentivize continued innovation, it would also frustrate, rather than serve, consumers. As discussed above, Petitioner's proposal would functionally bar "programmatic advertisements" in favor of "contextual advertisements." Unlike "programmatic advertising," "contextual advertising" does not account for consumers' interests and preferences; rather, it focuses solely on the content of a given website. While Petitioner contends that contextual advertising is an

[13] Petition at 52-61.
[14] *Id*.

equivalent substitute for "programmatic advertising," studies demonstrate that consumers prefer "programmatic advertising" because it connects them to products and services that align with their lifestyles and needs.[15] Unsurprisingly, consumers report dissatisfaction with contextual advertising, because it results in repeated viewing of often-irrelevant ads.[16] To the contrary, "programmatic advertising" improves consumer satisfaction by reducing repetition and promoting variety and relevance[17] (for example, "programmatic advertising" helps ensure that consumers in State A do not see cars offered for sale in State B). In the interest of consumers, the Commission should not unreasonably restrict or ban this practice.

Further, Petitioner's proposal would jeopardize the host of free and low-cost content consumers enjoy online. Without "programmatic advertising," many online content and service providers may elect to adopt a subscription-based model, where content (including news, research, videos, music, games, and more) would be available only upon payment of a fee. This fundamental shift away from today's egalitarian Internet would disproportionately reduce access for consumers with less expendable income. Consumers recognize that "programmatic advertising" makes a wide universe of information available on-demand and attribute significant value to the practice. In fact, a recent survey showed that consumers assign a monetary value of more than $1,400 per year to the ad-supported Internet.[18] By adopting the Petitioner's proposal, the Commission would risk depriving all consumers of this invaluable resource.

Petitioner also expresses concerns that the data use involved in "programmatic advertising" harms consumer privacy, and purports that an Internet-wide conversion to "contextual advertising" would remedy this harm.[19] "Programmatic advertising" does not in fact pose the widespread consumer privacy harms that Petitioner suggests; but even assuming *arguendo* that Petitioner is correct, the proposal would do nothing to allay these concerns. The contextual advertising regime that Petitioner envisions would still rely on data to serve advertisements but would do so in a much less efficient manner than "programmatic advertising." By its nature, contextual advertising limits space available for digital advertisements, because contextual ads must correlate with the information presented to the consumer on a website or application. Further, contextual advertising is only one-third as effective at reaching interested consumers as "programmatic advertising," resulting in revenue reductions that eliminate valuable content and consumer benefits.[20] Thus, Petitioner's proposal would result in actual harms to consumers, rather than the theoretical harms the proposal purports to address, by reducing information access and putting troves of Internet content behind paywalls.

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[15] J. Howard Beales & Andrew Stivers, *An Information Economy Without Data*, 12-15 (Nov. 2022), located here.
[16] *Id.* at 12-13.
[17] *Id.*
[18] Digital Advertising Alliance, *Americans Value Free Ad-Supported Online Services at $1,400/Year; Annual Value Jumps More Than $200 Since 2016* (Sept. 28, 2020), located here.
[19] Petition at 63-64.
[20] Beales & Stivers at 18.

IV. The Advertising Industry Has a Rich History of Self-Regulation That Has Been Encouraged and Praised by the FTC and Administrations

Petitioner asserts that the alleged unfair and deceptive trade practices, and consumer privacy harms that supposedly result from "programmatic advertising" are a consequence of the advertising industry having "no meaningful self-regulation at all."[21] This assertion is patently false. Contrary to Petitioner's assertions, the advertising industry has a long history of successful self-regulatory efforts which have been encouraged and praised by the FTC and past Administrations, and at times have predated important legislative efforts, such as the Children's Online Privacy Protection Act ("COPPA").[22]

The sole evidence Petitioner relies on to support these mistaken claims about existing self-regulatory efforts is a perceived "lack" of referrals by the advertising industry's self-regulatory bodies to the FTC.[23] This assertion is demonstrably incorrect and ignores the purposeful efficiencies of the advertising industry's existing self-regulatory programs. The ANA maintains the *Guidelines for Ethical Business Practice*, which require meaningful notice to consumers, honoring of consumer choice, and responsible data use, among other obligations.[24] The ANA's Ethics Center enforces these *Guidelines*, fields consumers complaints of non-compliant practices, and promptly responds and works directly with companies so they may come into compliance with the *Guidelines*.[25] Where non-compliance persists, the ANA refers companies to the FTC. In 2022 alone, the ANA processed nearly 10,000 consumer inquiries, working directly with companies to achieve compliance in the vast majority of instances and referring non-compliant cases to the FTC for further investigation and possible enforcement action.[26]

The ANA's self-regulatory efforts also demonstrate that Petitioner misunderstands prevailing consumer attitudes toward digital advertising. Contrary to Petitioner's claims that consumers experience widespread frustration with digital advertising practices, most consumer inquiries the ANA receives relate to analog advertising and marketing practices. In fact, less than twenty percent of the consumer inquiries the ANA received in 2022 were related to digital advertising. Further, the number of digital advertising inquiries received by the ANA has significantly decreased over the past three years, suggesting that increased self-regulatory activities by the ANA and other entities in the advertising industry, such as the Digital

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[21] Petition at 5.

[22] FTC, *Cross-Device Tracking, An FTC Staff Report* (Jan. 2017) at 11, located here ("FTC staff commends these self-regulatory efforts to improve transparency and choice in the cross device tracking space...DAA [has] taken steps to keep up with evolving technologies and provide important guidance to their members and the public. [Its] work has improved the level of consumer protection in the marketplace."); *see also* Katy Bachman, *FTC's Ohlhausen Favors Privacy Self-Regulation*, Adweek (June 3, 2013), located here (quoting then-FTC Chair Maureen Ohlhausen, who said the DAA is "is one of the great success stories in the [privacy] space."); Speech by Danny Weitzner, We Can't Wait: Obama Administration Calls for A Consumer Privacy Bill of Rights for the Digital Age (February 23, 2012), located here (praising DAA's self-regulatory program as "an example of the value of industry leadership as a critical part of privacy protection going forward").

[23] Petition at 16.

[24] The ANA, *Guidelines for Ethical Business Practice* (2020), located here.

[25] *See* The ANA, *Ethics Compliance Report Reporting Period: July - December 2022 and 2022 Overview* (Feb. 2023), located here.

[26] *See id.*

Advertising Alliance ("DAA"), are helping to address consumer considerations and minimize consumer complaints.[27]

In addition to enforcement activities under its *Guidelines*, the ANA plays a key role in enforcing the DAA's Principles, which require companies to be transparent with consumers regarding data uses.[28] To date, the DAA has pursued 125 public cases to bring companies into compliance with these Principles.[29] The ANA supports the DAA's efforts by investigating consumer complaints related to the Principles and working directly with companies so they may achieve compliance. The ANA's commitment to enforce the *Guidelines* and the DAA Principles preserves the FTC's limited resources and resolves consumer concerns in an efficient manner.

V. Advertising Is Protected Under the First Amendment and Programmatic Advertising Is Not an Unfair or Deceptive Trade Practice

Petitioner asks the FTC to adopt an API that would effectively ban "programmatic advertising" by alleging, without substantiation, that such advertising is an unfair or deceptive trade practice under Section 18 of the FTC Act.[30] Petitioner not only fails to acknowledge important First Amendment protections afforded to forms of commercial speech like advertising, but also fails to demonstrate how "programmatic advertising" is actually unfair or deceptive within the meaning of the FTC Act and as interpreted by the Commission.

If the FTC were to adopt the Petitioner's proposal, such a regulation would violate First Amendment, which protects speech that is not misleading or in furtherance of an illegal activity. Courts have long affirmed First Amendment protections for advertising under commercial free speech doctrine by making clear that individuals, businesses, and society in general have strong interests in the free flow of commercial information.[31] Advertising in general—and "programmatic advertising" specifically—brings immense value to consumers and society, and the overwhelming majority of such advertising is not false, deceptive, or illegal. As such, "programmatic advertising" is entitled to strong commercial free speech protections.

First Amendment commercial free speech protections for advertising serve to advance the interests of consumers and businesses alike.[32] The dissemination of data collected by a business

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[27] *Id.*; DigitalAdvertisingAlliance.org.

[28] *See* DAA, *Self-Regulatory Principles for Online Behavioral* Advertising (July 2009); DAA, *Self-Regulatory Principles for Multi-Site Data* (Nov. 2011); DAA, *Application of Self-Regulatory Principles to the Mobile Environment* (Jul. 2013); DAA, *Application of the DAA Principles of Transparency and Control to Data Used Across Devices* (Nov. 2015). DAA's Self-Regulatory Principles may be accessed at https://digitaladvertisingalliance.org/principles.

[29] *See* DigitalAdvertisingAlliance.org, *Enforcement*, located here.

[30] Petition at 5.

[31] *See, e.g.*, *Va. Pharmacy Bd. v. Va. Consumer Council*, 425 U.S. 748, 756-57 (1976); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

[32] "Freedom of speech presupposes a willing speaker. But where a speaker exists, as is the case here, the protection afforded is to the communication, to its source and to its recipients both…. We acknowledge[] that this Court has referred to a First Amendment right to 'receive information and ideas,' and that freedom of speech 'necessarily protects the right to receive.'… If there is a right to advertise, there is a reciprocal right to receive the advertising…." *Va. Pharmacy Bd. v. Va. Consumer Council*, 425 U.S. 748, 756-57 (1976).

is constitutionally protected free speech.[33] In order for a regulation restricting commercial speech to pass constitutional muster, (1) the state must assert a substantial interest in restricting the speech, (2) the regulation must directly and materially advance that interest, and (3) the regulation must be narrowly tailored to serve that interest.[34] Petitioner's proposal fails to provide support for any substantial interest in the proposed API or demonstrate how this API materially would advance that interest. Moreover, the API's ultimate impact from banning a widely used advertising practice and prescribing rigid rules for the size and length of digital ads clearly demonstrates that Petitioner's proposal is not narrowly tailored. Petitioner's proposal thus fails each element of the required First Amendment criteria.

Further, Petitioner fails to demonstrate that the "programmatic advertising" practices proposed to be regulated are "unfair or deceptive trade practices," as required for the Commission to issue regulations under Section 18 of the FTC Act.[35] The Petition makes a number of mere conclusory allegations that "programmatic advertising" is "unfair" or "deceptive," but does not substantiate these claims by any reference to the Commission's definitions of "unfair" or "deceptive" trade practices. Indeed, Petitioner fails to mention any of the Commission's existing policy statements to support the proposed regulation under Section 18. Bare assertions that a practice is unfair or deceptive, without more, are not sufficient to justify an exercise of the Commission's Section 18 authority.

VI. The ANA Supports Comprehensive Preemptive Federal Privacy Legislation That Complements the Advertising Industry's Existing Rich Self-Regulatory Offerings

Petitioner asks the FTC to regulate standard data collection practices by severely limiting the data points online publishers and advertisers may access to determine which ads to serve and where to serve them.[36] Instead of entertaining Petitioner's proposal, the Commission should support Congress' efforts to enact a comprehensive, preemptive standard for data collection and processing.

The ANA and its members support clear, workable standards such as those set forth in Privacy for America's *Principles for Privacy Legislation* that would clearly define prohibited practices that make personal data vulnerable to breach or misuse, while preserving the benefits from responsible uses of data.[37] Workable data protection standards empower advertisers to encourage equitable access to relevant information and respect consumers, while mitigating vulnerabilities that may result in consumer harms. As elected representatives of the people vested with broad investigatory power, Congress is best-suited to determine an appropriate national and economy-wide approach to data regulation.

[33] *See Individual Reference Services Group, Inc. v. F.T.C.*, 145 F. Supp. 2d 6, 41 (D.D.C. 2001); *Boetler v. Advance Magazine Publishers Inc.*, 210 F. Supp. 3d 579, 597 (S.D.N.Y. 2016); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 571-72 (2011).
[34] *Individual Reference Services Group, Inc. v. F.T.C.*, 145 F. Supp. 2d 6, 41 (D.D.C. 2001); *see also Central Hudson Gas and Electric Corp. v. Public Serv. Comm'n*, 447 U.S. 557, 566 (1980).
[35] *See* 15 U.S.C. § 57a(a).
[36] Petition at 51-65.
[37] Privacy for America, *Principles for Privacy Legislation*, located here.

Data-driven advertising, particularly “programmatic advertising,” is, at its core, beneficial to the economy and consumers. As described throughout these Comments, the wrong approach to regulation in this area would have devastating effects across all sectors of the economy on businesses of all sizes, and on consumers. The Petition represents the wrong approach. The Commission should refrain from pursuing the Petitioner’s proposal, and instead support Congressional efforts to set the foundational structure for data use requirements in the United States.

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Thank you for the opportunity to submit comments on the Petition. Please do not hesitate to contact us with any questions regarding this submission.